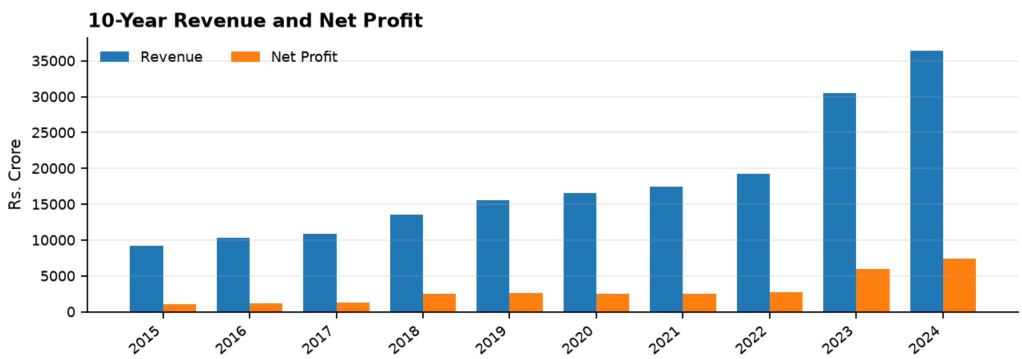
Shriram Finance Ltd

Financials | Consumer Finance | Latest FY: 2024

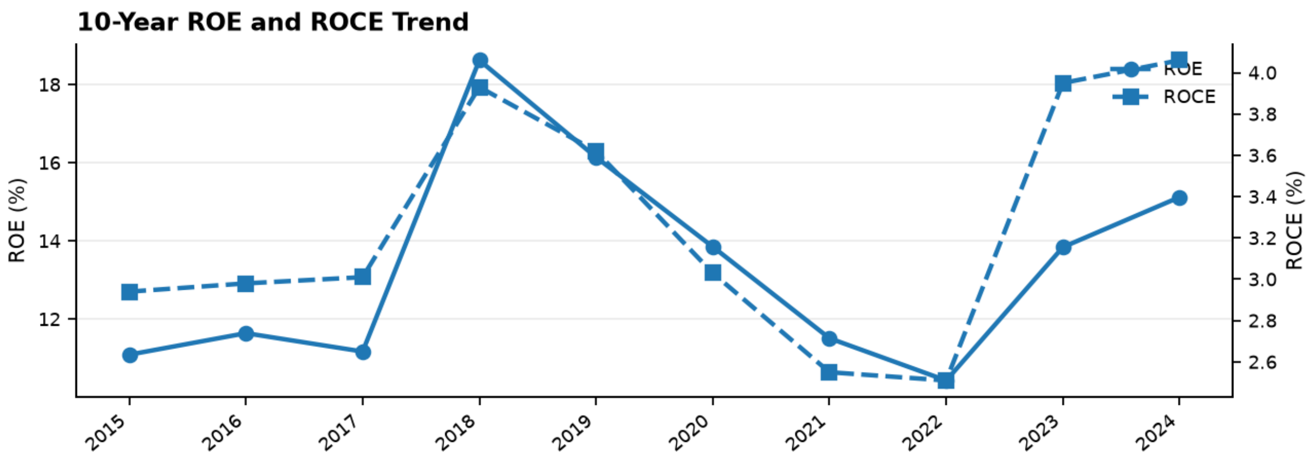
Return on Equity	ROCE	Net Profit Margin
15.1%	4.1%	20.3%

Debt to Equity	Revenue CAGR (5Y)	Free Cash Flow
3.99x	18.6%	-Rs. 31,359 Cr

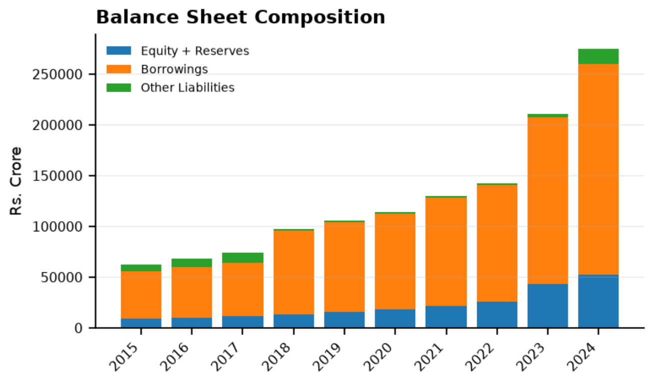
Growth and Earnings

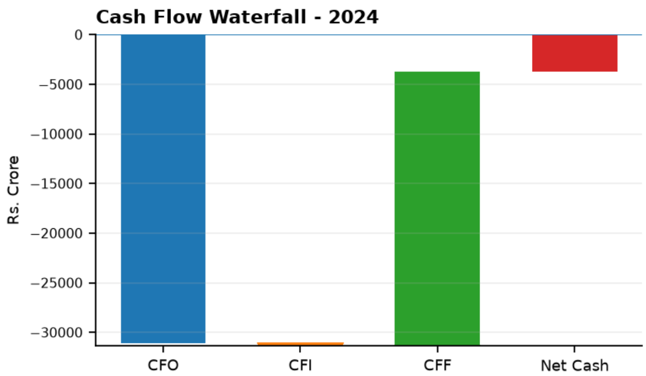


Capital Efficiency Trend



Balance Sheet and Cash Flow





Pros

- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

CAPITAL ALLOCATION

Growth Funded by Debt